



Prepare 50% Faster

Study Notes

RBI and Monetary Policy

Monetary Policy - Overview

- Monetary policy refers to the use of monetary instruments under the control of the central bank (i.e. RBI) to regulate
 - interest rates,
 - money supply and
 - availability of credit,with a view to achieving the ultimate objective of economic policy
- The policy is executed by Reserve Bank of India, to fulfil the responsibility that is mandated under the Reserve Bank of India Act, 1934.

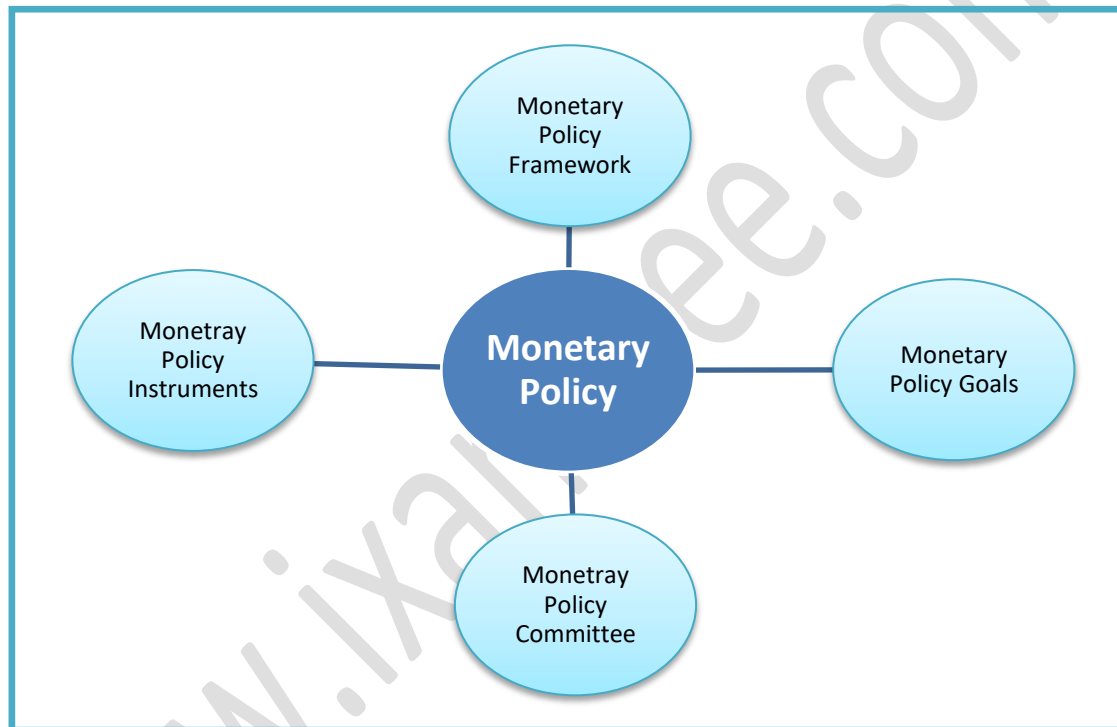


Figure 1: Key aspects of Monetary Policy

Monetary Policy Framework

- Monetary policy framework sets the policy (repo) rate based on the macroeconomic situation and adjusts the liquidity conditions in the economy.
- The changes in the repo rate influence aggregate demand, which have an impact on inflation and growth.
- Once the repo rate is announced, the operating framework designed by RBI envisages liquidity management on a day-to-day basis through the Liquidity Adjustment Factors (LAF).
- The operating framework of monetary policy aims at aligning the operating target – the weighted average call rate (WACR) – with the policy repo rate through proactive liquidity

management to facilitate transmission of repo rate changes through the entire financial system, which, in turn, influences aggregate demand – a key determinant of inflation and growth.

Monetary Policy Goals

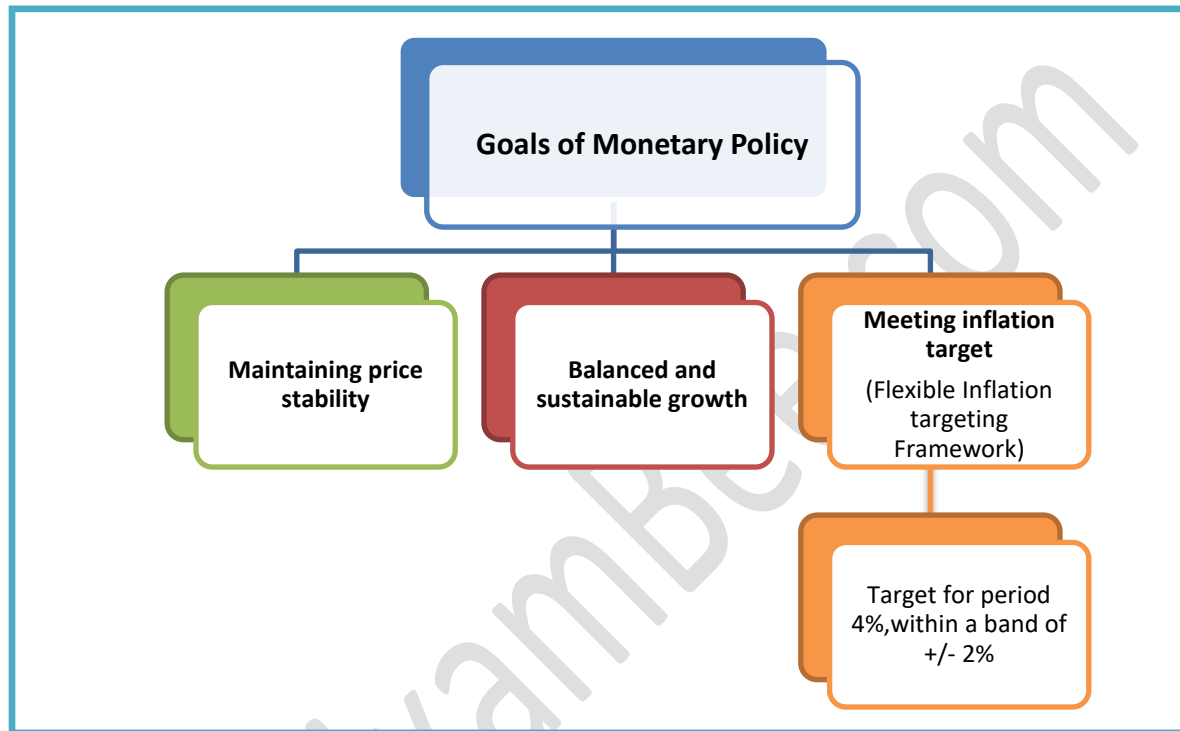


Figure 2: Goals of Monetary Policy

Flexible Inflation Targeting Framework (FITF)

- Through an **agreement signed between the RBI and the government** as at **February 20, 2015**, RBI decided to adopt FITF as the modern monetary policy framework. In **May 2016**, the **RBI Act, 1934 was amended** to provide a statutory basis for the implementation of the FITF.
- **What FIT means** is that price stability is to be achieved by keeping track of, forecasting, and controlling inflation; as such, if the percentage change in monthly Consumer Price Index (headline CPI) year-on-year was outside or expected to be outside a specific range of numbers (the "Target") for a certain duration, it gives RBI a justification to decrease or increase short-term interest rates. Thus, price stability became an overarching objective of monetary policy, moving other factors to the background.
- The amended RBI Act provides for the **inflation target to be set** by the Government of India, in consultation with the Reserve Bank, **once every five years**.

- The Central Government has notified **4% CPI inflation as the target** for the period from August 5, 2016, to March 31, 2021, with the **upper and lower tolerance limit of 6% and 2%** respectively. The same range has been adopted beyond March 31, 2021 by RBI for next 5 years from **April 01, 2021 to March 31, 2026**.
- If average inflation is more than the upper tolerance level or less than the lower tolerance level for any three consecutive quarters, it constitutes failure in achieving the inflation target.
- **Failure to Maintain Inflation Target:** The Central Government has notified the following as the factors that constitute failure to achieve the inflation target:
 - a) the average inflation is more than the upper tolerance level of the inflation target for any three consecutive quarters; or
 - b) the average inflation is less than the lower tolerance level for any three consecutive quarters.

Where RBI fails to meet the inflation target, it shall set out in a report to the Central Government:

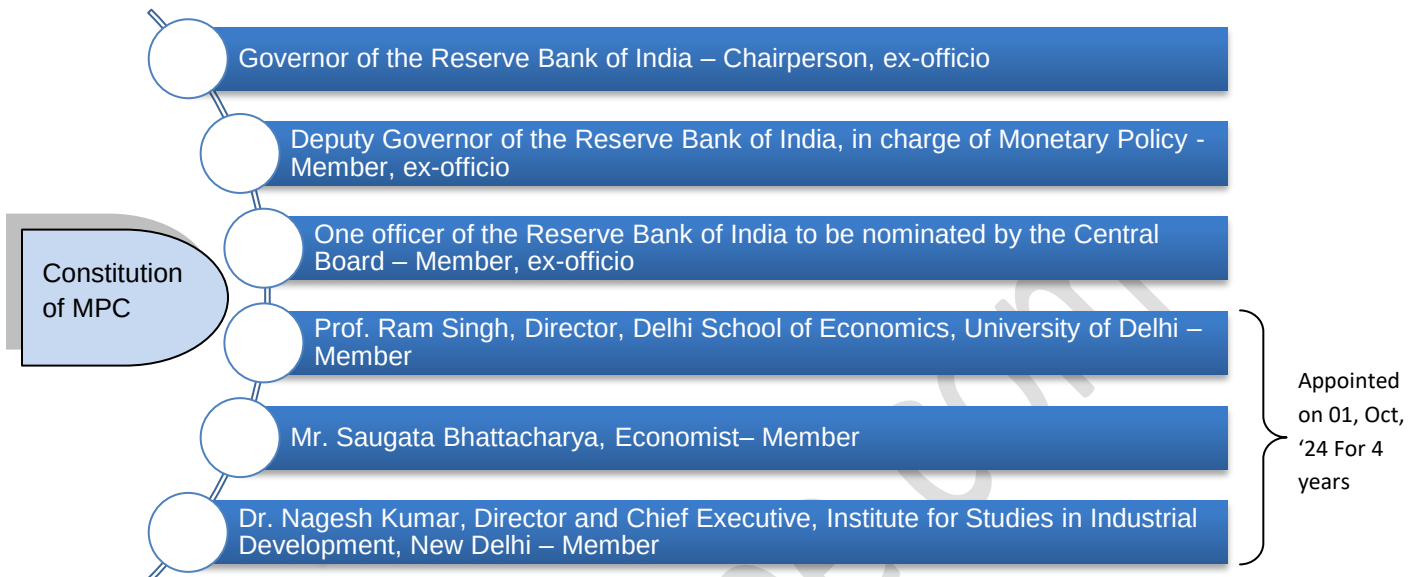
- a. the reasons for failure to achieve the inflation target;
- b. remedial actions proposed to be taken by RBI; and
- c. an estimate of the time-period within which the inflation target shall be achieved pursuant to timely implementation of proposed remedial actions.

The Monetary Policy Process – Monetary Policy Committee (MPC)

Genesis of MPC

- **Section 45ZB of amended RBI Act, 1934** provided for constitution of MPC **by the Central Government**
- In September 2016, **a six-member MPC** was constituted:
 - **3 ex-officio members** – RBI Governor, Deputy Governor (in-charge of monetary policy) and one RBI officer to be appointed by the central board.
 - **3 external members** appointed by the central government from amongst persons of ability, integrity and standing, having knowledge and experience in the field of economics, banking, finance or monetary policy.

- The MPC members as of January 2025 are:



- The **first meeting of the MPC** was held on **October 3 and 4, 2016**.
- **Before** the constitution of the MPC, a **Technical Advisory Committee (TAC)** on monetary policy with experts from monetary economics, central banking, financial markets and public finance advised the Reserve Bank on the stance of monetary policy. However, its role was only advisory in nature. With the formation of MPC, the TAC on Monetary Policy ceased to exist.

Functioning of MPC

- MPC is required to meet at least four times in a year. *It meets bi-monthly as of now.*
- The **quorum** for the meeting of the MPC is **four members**.
- Each member of the MPC has one vote, and in the event of an equality of votes, the **Governor has a second or casting vote**.
- On the 14th day, the minutes of the proceedings of the MPC are published which include
 - a. the resolution adopted by the MPC;
 - b. the vote of each member on the resolution, ascribed to such member; and
 - c. The statement of each member on the resolution adopted.
- Once in every six months, RBI is required to publish a document called the Monetary Policy Report to explain:
 - a. the sources of inflation; and
 - b. The forecast of inflation for 6-18 months ahead

Monetary Policy Process through MPC

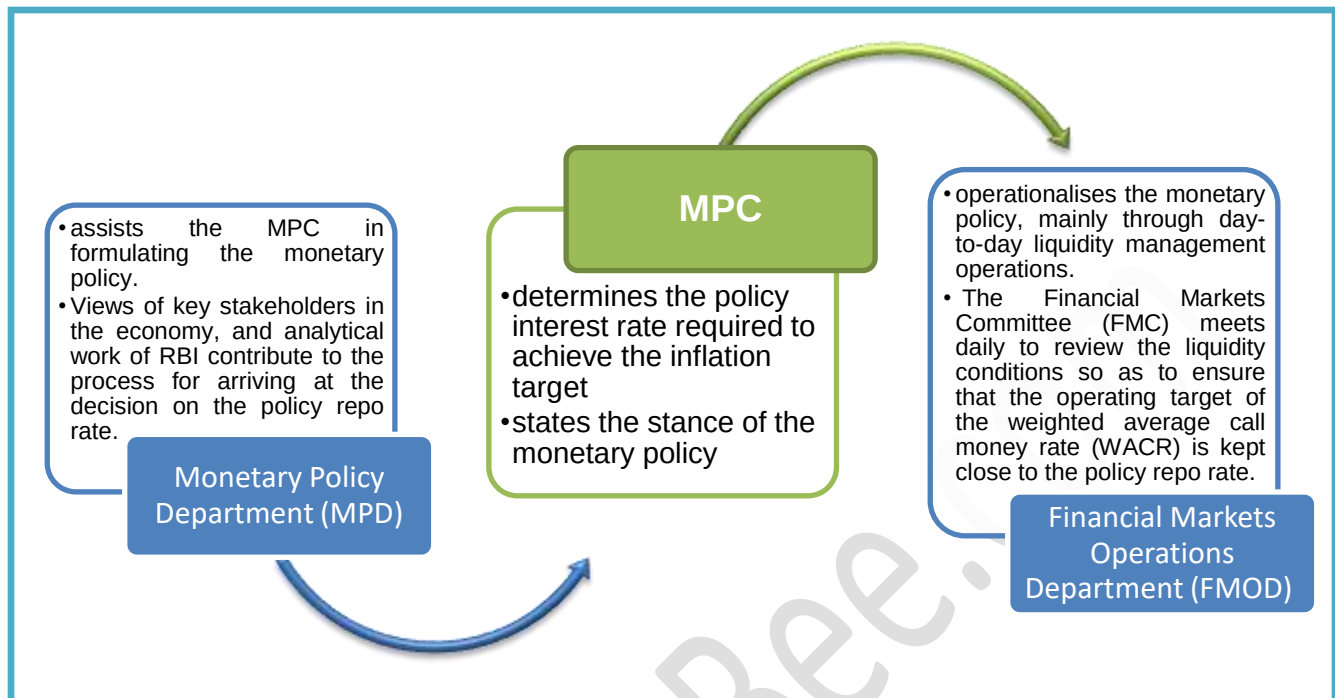


Figure 3: Process of Monetary Policy

Stance of Monetary Policy given by MPC

- Apart from determining the policy interest rates, the MPC also gives its stance on monetary policy as hawkish, dovish or neutral.
- The stance indicates the outlook of the MPC in the near future and is like policy guidance to financial markets so that all types of investors can make informed decisions.
- Since the prime objective of MPC is targeting inflation, the actual decision on stance is also taken more based on the 'underlying inflationary pressures', rather than the CPI numbers alone.



Hawkish Stance
Or tightening stance



Neutral Stance



Dovish Stance
Or Accommodative stance

Hawkish Stance

- when a RBI wants to guard against excessive inflation (*Think about a hawk circling to protecting the upper limit of inflation*)
- To curb inflation, a hawkish policy will **increase interest rates**, or some other equivalent action **to withdraw liquidity from the economy**
- An increase in interest rates can cause an increase (strengthening) in the country's currency.
- A Hawkish stance is positive for currency of country, slows economic growth, and prevents excessive inflation

Neutral Stance

- neutral stance means RBI will not be altering the policy rates i.e. anything can happen anytime
- it may also indicate that the RBI does not see any upside or downside risk to inflation in the near future and the underlying inflationary pressures are under control

Dovish Stance

- Used when an economy is not growing and the government wants to guard against deflation which is a decrease in the cost of goods and services
- When a central bank is dovish, they are guarding against deflation, or the cost of goods and services getting too low.
- **Interest rates might be lowered to inject liquidity in the economy**
- If interest rates are lowered, then the value of a currency may decrease
- A dovish stance is negative for currency of country, stimulates economic growth, and prevents excessive deflation.

Note - Monetary policy instruments is discussed in a separate note